



COMMERCIAL LENDING

BL-ABL-2026.04 · Effective April 25, 2026

PRODUCT BROCHURE · COMMERCIAL LENDING

Asset-Based Lending

Revolving credit facilities structured against a dynamic borrowing base of accounts receivable, inventory, and machinery & equipment — with field-exam discipline and dominion-of-funds control.

FACILITY SIZE	\$5,000,000 – \$100,000,000+
STRUCTURE	Revolving credit (364-day or multi-year)
PRICING	Term SOFR + 3.00% to + 5.50% · unused 0.375% · monitoring 0.25%
ADVANCE RATES	85% AR · 50–65% inventory · appraised ML&E;
REPORTING	Weekly or monthly borrowing-base certificate
FIELD EXAMS	1–4 times per year (risk-graded cadence)
CASH MANAGEMENT	Dominion-of-funds via collection lockbox
COVENANTS	Springing FCCR at availability trigger; light maintenance



AT A GLANCE

Overview

Cumulus Asset-Based Lending (ABL) provides revolving credit structured as a percentage of qualifying collateral — accounts receivable, eligible inventory, and appraised machinery and equipment. Availability rises and falls each reporting period with the borrowing base, making ABL uniquely well-suited to cyclical, seasonal, or working-capital-intensive businesses and to borrowers whose leverage or operating profile does not support a cash-flow-underwritten revolver. ABL facilities feature dominion-of-funds control, borrowing-base certificates, regular field exams, and appraisals — in return for higher advance rates, greater flexibility on covenants, and meaningful availability through cycle troughs.

WHY ABL

Key benefits

HIGHER AVAILABILITY Higher availability Advance rates of 85% on eligible AR, 50–65% on inventory, and appraised orderly-liquidation value on ML&E; frequently produce larger facilities than cash-flow underwriting.	LIGHT FINANCIAL COVENANTS Light financial covenants Typically a single springing fixed-charge coverage ratio, tested only when availability falls below a dollar or percentage trigger.
CYCLICAL AND SEASONAL FIT Cyclical and seasonal fit Availability expands with receivables and inventory through production or selling seasons; contracts in collection periods.	TRANSFORMATION AND TURNAROUND Transformation and turnaround Well-suited to borrowers undergoing cost restructuring, carve-outs, or acquisitions where conventional leverage-based credit is limited.
DOMINION-OF-FUNDS DISCIPLINE Dominion-of-funds discipline Collection account with lockbox sweep provides daily payment visibility and credit-line revolving discipline.	INTEGRATED REPORTING Integrated reporting Borrowing-base certificates, AR aging, and inventory analytics through Cumulus Business Online — submitted by file or API.

HOW AVAILABILITY IS SIZED

Borrowing-base mechanics



Availability is recalculated at each reporting cadence (weekly at most facilities; monthly in lighter-touch structures). The borrower submits a Borrowing-Base Certificate listing eligible collateral; Cumulus applies advance rates and ineligibles (dilutions, concentrations, cross-age) to arrive at Net Availability. The facility commitment is the upper bound; availability is typically the binding constraint.

COLLATERAL CLASS	ADVANCE RATE	KEY INELIGIBLES / RESERVES	REPORTING CADENCE
Accounts receivable	85% of eligible	> 90 days past due; cross-age (if 25% of an obligor is past due, all AR from that obligor ineligible); foreign without CEBA-insured or letter-of-credit support; affiliates; contra / offset; 20% single-obligor concentration.	Weekly (monthly for lighter facilities)
Inventory — raw materials & finished goods	50% – 65% of NOLV appraised	Work-in-process excluded (except certain contract work); slow-moving > 180 days ineligible; obsolete / damaged ineligible; consigned ineligible unless PMSI waived.	Monthly (quarterly count)
Machinery and equipment (ML&E;)	80% – 85% of appraised NOLV	Appraised by Cumulus-engaged appraiser (Hilco, Gordon Bros., Great American); annual re-appraisal on large facilities.	Annual re-appraisal
Real estate (select cases)	65% – 75% of appraised value	Environmental Phase I required; amortization against real-estate portion typical.	Annual

FEE SCHEDULE

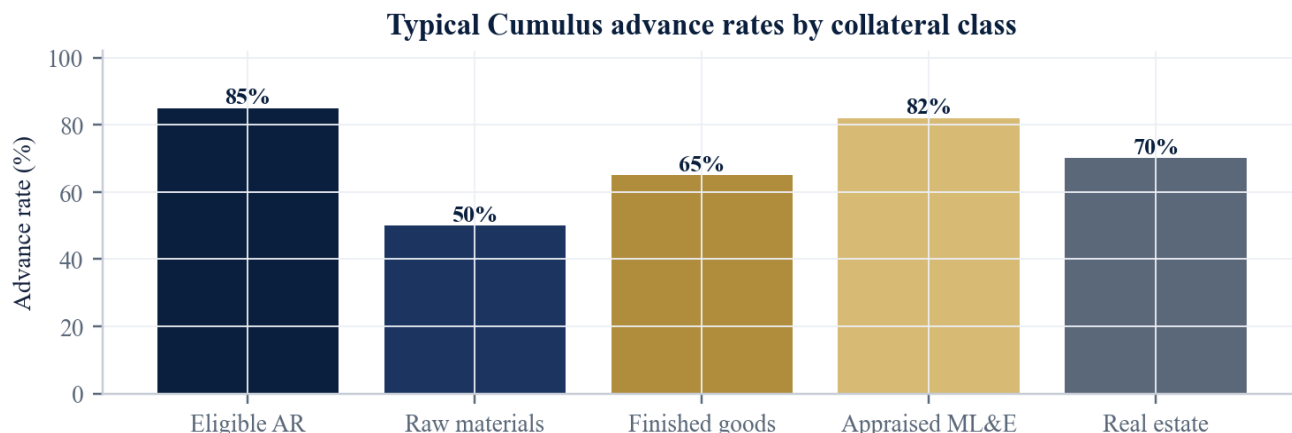
Pricing and structure

COMPONENT	AMOUNT	NOTES
Interest rate	Term SOFR + 3.00% – 5.50%	Pricing grid steps down with availability (e.g., 25-bp reduction at > 65% availability).
Upfront closing fee	0.75% – 1.50% of commitment	Paid at closing; larger on new-relationship transactions.
Unused line fee	0.375% – 0.50% per annum	On average undrawn commitment.
Collateral monitoring fee	0.25% per annum	On outstanding balance; billed monthly.
Field-exam fee	Actual cost (typically \$900 – \$1,500 / day)	Passed through at Cumulus's standard day-rate schedule.
Appraisal fee	Actual cost	ML&E; appraisals annually; inventory appraisals at underwriting and on material shifts.
Letter-of-credit fee	2.00% per annum on face	Standby and commercial LCs available within the facility.
Early termination fee	1.00% – 2.00% of commitment	Declining schedule; generally waived at maturity renewal.

AVAILABILITY PROFILE

Advance rates by collateral class

The chart below compares Cumulus's standard advance rates across collateral classes. Actual advance rates are set at underwriting and reflect collateral quality, dilution history, appraisal results, and concentration.



PAYMENT CONTROL

Dominion-of-funds and cash management

Cumulus ABL facilities operate under a full dominion-of-funds structure. All receivables are directed to a Cumulus collection lockbox; incoming funds are swept daily to reduce the revolver balance. New draws fund operating needs as the borrower requires them. Springing dominion (triggered only on specified events) is available in limited circumstances for investment-grade borrowers.

COMPONENT	MECHANICS
Collection lockbox	All obligor remittances directed to a Cumulus Wholesale Lockbox PO box or electronic collection address. Imaging, data capture, and ERP integration included.
Daily sweep	End-of-day balance in the collection account sweeps to the revolver; operating account funded on request from the revolver.
Notification of assignment	Customers notified on new-relationship onboarding or event-of-default; non-notification structure available for investment-grade borrowers.
ACH / card collections	Card and ACH settlement routed to the collection account; auto-reconciled to invoice via lockbox.
Receivables reporting	Daily collection activity available in Business Online; cash-application file returned to ERP the same business day.
Springing vs full dominion	Full dominion default structure. Springing dominion available for investment-grade borrowers with strong covenant profile.



COLLATERAL DILIGENCE

Field exams and appraisals

- **Initial field exam** — Cumulus Field Exam team performs an on-site diligence (typically 5–15 exam days) prior to closing, testing AR dilution, billing/collections process, inventory controls, and financial reporting accuracy.
- **Semi-annual or annual field exams** — cadence set at underwriting based on facility size, risk grade, and collateral complexity. Riskier credits examined quarterly.
- **Inventory appraisal** — Net Orderly Liquidation Value (NOLV) appraisal by third-party appraiser at underwriting and annually thereafter (semi-annually for seasonal profiles).
- **ML&E; appraisal** — NOLV appraisal at underwriting and every 12–24 months depending on asset mix and utilization.
- **AR exam focus** — document sampling, aging roll-forward, dilution calc (credits + cash discounts + returns), concentration testing, and cross-age analysis.

CREDIT AND LEGAL

Underwriting and documentation

Borrower profile

- Manufacturers, distributors, wholesalers, oilfield services, staffing, and service businesses with meaningful AR or inventory.
- Minimum annual revenue \$25M for standalone ABL; smaller AR-only facilities available.
- Receivables-based businesses with diversified obligor base, controlled dilution (< 5% trailing), and measurable AR quality.
- Sponsors with prior ABL experience or operating track record in collateral-intensive industries.

Documentation

- Three years audited financials; trailing-twelve-month EBITDA reconciliation.
- Two years monthly AR aging and dilution analysis.
- Perpetual inventory with physical-count reconciliations.
- Dilution, credit-memo, and chargeback detail for field-exam sampling.
- Intercreditor or subordination agreement with other secured creditors, where applicable.
- 13-week cash-flow forecast.

COMMON QUESTIONS

Frequently asked questions

When is ABL better than a traditional cash-flow revolver?

ABL is typically better when the borrower is asset-rich and leverage- or earnings-constrained: cyclical manufacturers, distributors, staffing firms, and businesses emerging from a turnaround. ABL also provides more reliable availability through earnings troughs because the borrowing base does not contract with EBITDA.

What is the 'springing' covenant structure?

ABL facilities typically impose a single financial covenant — fixed-charge coverage ratio (FCCR) of 1.10x – 1.20x — that is tested only when excess availability falls below a trigger (commonly \$15M or 15% of the commitment). Above the trigger, no financial maintenance covenants apply.

Are ineligibles negotiable?

Each facility is negotiated at term-sheet stage. Cumulus sizes concentration limits, cross-age, and foreign-AR ineligibles based on the borrower's obligor base and credit-insurance profile. More permissive ineligibles often trade against advance-rate step-downs.

Can letters of credit be issued under the facility?

Yes. Standby and commercial letters of credit may be issued within the ABL commitment, with availability reduced by the face amount of outstanding LCs. LC pricing of approximately 2.00% per annum applies on the face.

How frequently is the borrowing base reported?

Weekly for standard facilities; monthly for lighter-touch structures; and daily for facilities in heightened monitoring. Borrowing-base certificates are submitted through the Cumulus Business Online ABL module or by secure file transfer.

Can equipment or real estate be included in the borrowing base?

Yes. Appraised ML&E; is commonly included at 80–85% of Net Orderly Liquidation Value, typically amortized against the borrowing base over time. Real estate may be included on a term-loan basis alongside the revolver.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.

§ Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.

§ For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.

§ Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.

§ NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.

§ Borrowing-base availability is recalculated at each reporting period and may decrease — materially and without notice — due to changes in eligible collateral, advance rates, or ineligibles and reserves imposed by the Bank in its discretion pursuant to the loan agreement.

§ ABL facilities operate under a dominion-of-funds arrangement. All proceeds of collateral are directed to accounts subject to a blocked-account or deposit-account-control agreement (DACA) in favor of the Bank.

§ Field-exam and appraisal costs are passed through to the borrower at Cumulus's standard rates. The Bank's collateral reviews are for internal credit and collateral management; borrowers should not rely on the Bank's diligence as a substitute for their own internal controls.

§ Intercreditor and subordination arrangements with other secured creditors are required and are not negotiable absent exceptional circumstances.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker



A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

CLIENT PORTAL

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Apply online, review rates, or schedule an appointment.

TREASURY SERVICES

Commercial banking centers are staffed by appointment. Request a consultation at cumulusbank-demo-bb054209d76d.herokuapp.com/commercial.

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